AUDIT BRIEF · California (CA)

Before auditing paid factory-warranty claims
Verified 2026-10-23 (statutes and agency rules) · Built 2026-10-23 · CA-audit-brief-2026-10-23

Covers: Factory warranty, CPO, TSB/campaign and federal recall claims (one definition of 'warranty'); incentives (parallel regime with different grounds). Non-warranty service and maintenance audits: no statutory window or procedure. **3 items need legal review (section 5).**

1. Audit eligibility

Which claims and programs can be audited, how far back, and from what date.

Audit window. 9 months after the claim is paid or credit issued, on a reasonable basis. The chargeback then follows the notice clock (day 45 to day 90 after notice), so it can land after month 9. § 3065(e)(1)

Post-window exception (fraud). Fraud only: a longer audit and chargeback period needs a New Motor Vehicle Board order first, and the franchisor must prove intent to defraud. No outer limit is stated. § 3065(f)

Deadline to take the chargeback. Within 90 days after the dealer receives the disapproval notice, or the Final Denial notice if it appealed. After a pre-chargeback Board protest: 90 days from the Board's final order. § 3065(e)(5)

2. Planning restrictions

Frequency cap, notice, selection basis and permitted reasons for an audit.

Audit frequency cap. One random audit per 9-month period. Any additional audit in that period needs written disclosure of its basis with the notification. § 3065(e)(1)

Selection basis. Never punitive, retaliatory or unfairly discriminatory; an additional (non-random) audit must carry its written basis. No advance-notice period is set for any audit. § 3065(e)(1)

Audit basis / no response to a rate request. No nonroutine or nonrandom warranty, non-warranty-repair or service audit in response to a retail rate submission or any other § 3065.2 right. § 3065.2(i)(2)(G)

3. Testing and findings

Chargeback grounds, documentation limits, clerical errors, sampling and extrapolation, proof, recovery scope.

Chargeback grounds (paid claims). Four only: false or fraudulent; repairs not properly made; repairs inappropriate because of the dealer's improper act or omission; MATERIAL noncompliance with reasonable, nondiscriminatory documentation rules. Same as the denial grounds. § 3065(e)(2)

Denial grounds (unpaid claims). The same four grounds. Written disapproval within 30 days of receipt stating the specific grounds, or the claim is deemed approved. § 3065(d)(1)-(3)

Proof requirements and burden. The notice must state the specific grounds for each claim; the franchisor carries the burden of proof in any Board protest and must prove intent to defraud where it matters. § 3065(e)(6)

Documentation grounds. Only MATERIAL noncompliance with reasonable, nondiscriminatory documentation and administrative rules counts, with at least 30 days to cure. § 3065(e)(2)

Clerical errors. No express clause: non-material paperwork defects can't support a chargeback, and a claim rebutted and cured in time can't be charged back. § 3065(e)(2)-(3)

Extrapolation. Allowed only from a randomly selected sample with a reasonable, statistically valid method. § 3065(e)(2)

4. Chargeback process

Written reasons, dealer response and cure, internal appeal, stay during a dispute, timing of the chargeback.

Written reasons. Written disapproval notice within 30 days after the audit, stating the specific grounds for each claim. § 3065(e)(3)

Dealer response period. At least 30 days after receipt of the notice (more for large claim volumes) to rebut with documentation and to cure. § 3065(e)(3)

Cure rights. At least 30 days to cure material documentation noncompliance; a claim rebutted and cured before the deadline can't be charged back. § 3065(e)(3)

Internal appeal. Required: a reasonable appeal process giving at least 30 days after the disapproval notice. § 3065(e)(3)-(4)

Final Denial notice. If the dealer appeals and loses: written notice within 30 days of the end of the appeal, marked 'Final Denial' on page 1. The 45-day hold, 90-day deadline and 6-month protest window run from the later of this notice and the disapproval notice. § 3065(e)(4)-(6)

Stay pending Board protest. A Board protest filed BEFORE the chargeback stops offset or collection until the Board's final order. A protest filed after the chargeback (still possible within 6 months) does not. § 3065(e)(5)-(6)

Chargeback hold. No chargeback until 45 days after the later notice; with the 90-day deadline, the chargeback must land between day 45 and day 90. § 3065(e)(5)

5. Exceptions and escalation

Unusual state rules, legal-review flags, penalties and where the dealer protests.

What counts as "warranty". 'Warranty' includes CPO warranties, TSB and customer-service-campaign repairs in the warranty period, and federal recalls, so those claims follow the same audit rules. § 3065.25(b)

Incentive-program audits. Incentive audits run on a parallel regime (same window, cap and clocks) with different grounds: false or fraudulent; ineligible under program terms as previously communicated; material documentation noncompliance. A cure alone bars the chargeback. § 3065.1(g)(1)-(6)

Export / sale-for-resale chargebacks. No export/resale chargeback or nonroutine audit unless the written policy preceded the sale by 48 hours and the dealer knew or should have known; registration plus tax collection presumes it didn't, and the manufacturer bears the burden. § 11713.3(y)(1)-(4)

Waivers of audit protections. Agreements that waive § 3065 duties or Board-protest rights are void; the only carve-out is a post-disapproval waiver of an incentive-claim protest. § 11713.3(g)

Part return on "not defective" findings. On a 'part not defective' finding the franchisor must return the part at its expense or reimburse the dealer's cost. Whether this reaches audit chargebacks is unresolved. **[Legal review]** § 3065(c)

Time-allowance reductions. No blanket time cuts; a repair-specific time reduction needs 15 days' prior written notice. Confirm the allowance was in force on the repair date before charging back hours. § 3065(a)(1)-(3)

LEGAL REVIEW REQUIRED — Cure without rebuttal (warranty chargebacks)

§ 3065(e)(3) bars a chargeback when the dealer 'rebuts … and cures' in time; the incentive rule in § 3065.1(g)(5) bars it on a cure alone, and § 3065(e)(5) has no such sentence for warranty claims.

Action: Treat a timely cure of a documentation-only disapproval as a bar to chargeback; obtain legal interpretation before charging back a cured warranty claim on any other ground. § 3065(e)(3), (e)(5)

LEGAL REVIEW REQUIRED — Protest waivers in warranty-audit settlements

§ 11713.3(g) voids agreements that waive § 3065 duties or Board-protest rights; the only audit-settlement carve-out is a post-disapproval waiver of an incentive-claim protest, so a pre-protest warranty audit settlement that waives protest rights may be void.

Action: Obtain legal review of any audit settlement, acknowledgment or repayment agreement that waives or limits a dealer's § 3065 protest rights before a protest has been filed. § 11713.3(g)

LEGAL REVIEW REQUIRED — Part return on audit chargebacks

§ 3065(c) requires return of the part or reimbursement of its cost when a 'part not defective' claim is disallowed; § 3065(e) does not say whether that applies to an audit chargeback.

Action: Before charging back a paid parts claim on a "part not defective" finding, obtain legal interpretation of whether § 3065(c) requires return of the part or reimbursement of the dealer's part cost. § 3065(c), (e)(2)

If done wrong. An improper audit or chargeback exposes the manufacturer to a New Motor Vehicle Board protest in which it carries the burden of proof (§ 3065(e)(6); § 3066(c)), to DMV suspension or revocation of its license for a willful violation of § 3065 (§ 11705(a)(7)), and, where the conduct also breaches § 11713.3 (unfair warranty discrimination, void waivers, export adverse action) or a Board decision, to damages, reasonable attorney fees and injunctive relief under § 11726.

Where the dealer protests. Protest to the New Motor Vehicle Board within six months after the later of receipt of the written disapproval notice or completion of the franchisor's appeal process; franchisor bears the burden of proof; a protest filed before the chargeback stays offset or collection until the Board's final order; judicial review within 45 days of the final order. § 3065(e)(5)-(6); § 3066(a), (c); § 3067(a); § 3068

Not expressly addressed in the reviewed statutes and agency rules (verified 2026-10-23): advance audit notice; recovery scope (whole claim vs. part); new information after the audit; audits of non-warranty service or maintenance claims.

Generated from the Warranty Atlas data file for California; the state page has the statute quotes behind every line, a copy button, and the rules that did not fit on this page. Research summary for audit planning, not legal advice. Confirm against the cited statute before acting; take disputes and every legal-review item to Legal. CA-audit-brief-2026-10-23.